Supplier and Procurement Policy

Catalogue governance and replenishment guidance | Demonstration edition

Policy owner	Procurement and Master Data
Review context	Supplier and category governance
Scope	Inventory products and purchasing reference data
Status	Fictional content for software testing

Policy overview

This document sets out the fictional purchasing and supplier-data principles used by Northstar Distribution. The purpose is to keep supplier assignments and product categories consistent enough for ordering, reporting, and inventory review. The policy applies to catalogue products that contain a product name, unit price, supplier, category, and quantity. Contract terms, delivery performance, contact details, and purchase-order status are maintained outside the basic product table.

Supplier assignment

Each active product in the demonstration application has one current supplier assignment. That assignment indicates the supplier normally used for replenishment; it does not prove that the supplier is exclusive or currently able to deliver. If the business needs several sources for one item, a separate supplier-product record should be maintained with the supplier-specific pack size, quoted price, lead time, and approval status.

A missing supplier is treated as incomplete master data. The item remains visible so that stock can be counted and historical activity can be understood, but a replenishment request is not released until the responsible buyer confirms the source. Users must not copy the supplier from a similar product merely to complete the field.

Supplier	Typical catalogue area	Example linked product	Current note
SafeCore GmbH	Safety Equipment	Nitrile Gloves, Blue, Size M	Approved demonstration supplier
PackRight AG	Packaging	Packing Tape, Clear, 50 mm	Primary source in the sample catalogue
NordCom Supply	Electronics	USB-C Docking Station D14	Product currently recorded with zero quantity
OfficeLine KG	Office Supplies	Printer Paper A4, Box of 5	Quantity exception requires warehouse review

Names and duplicate records

New supplier records are checked against legal names, trading names, abbreviations, and existing identifiers before creation. “OfficeLine KG” and “Office Line” must not automatically be treated as different companies or automatically merged. The master-data coordinator verifies supporting information and then standardizes the display name while retaining necessary historical references.

Category governance and purchasing decisions

Categories provide a stable way to group items for reporting and review. Approved examples include Electronics, Office Supplies, Packaging, Cleaning Materials, and Safety Equipment. A product has one primary category in the demonstration system. Tags or additional relationships may be introduced when users need several classifications, but they should not be simulated by placing multiple category names into one field.

Requests for a new category are reviewed for overlap with the existing catalogue. A narrowly worded category used by only one team may be replaced with a broader approved term if that term describes the product accurately. Products are not assigned to “Other” simply because the requester is unsure. Incorrect category assignments are corrected in the product record, after which dependent reports are refreshed.

Price comparisons

Stored unit prices can support an initial review, but they are not sufficient on their own to identify the best supplier. A fair comparison requires equivalent products, units of measure, pack sizes, currencies, tax treatment, delivery conditions, and effective dates. Price information from a box of 100 units cannot be compared directly with the price of one individual unit without conversion.

> A recommendation must not be based only on the lowest number in the unit-price field. Delivery reliability, quality, approved status, contractual conditions, and lead time may be relevant, but these factors are not available in the core inventory record.

Review scenario	Permitted conclusion	Information still needed
Two identical products use the same unit and current currency	The stored prices can be displayed side by side.	Effective date, discounts, freight, tax, and contract conditions.
Products have similar names but different pack sizes	No direct price ranking should be produced.	Pack content and normalized price per comparable unit.
Only one supplier is recorded for a product	That supplier is the current assignment.	Whether alternatives are approved or commercially available.
Supplier field is blank	The product record is incomplete.	Buyer confirmation and an approved supplier record.

Changing the current supplier

A supplier assignment is changed after the buyer confirms the replacement and any required approval has been completed. Where traceability is needed, the previous supplier, effective date, reason, and approval reference are retained in history. Remaining stock does not need to be renamed simply because its future source changes, but batch or provenance requirements may require additional records outside this policy.

Operational guidance and exceptions

During daily replenishment review, buyers may filter products by supplier and combine the result with recorded quantity. In the demonstration environment, quantities from 1 through 49 are labeled low stock and zero is out of stock. These labels create a review queue; they do not automatically create purchase orders. Demand, open orders, storage capacity, and supplier conditions are considered in systems or processes outside the core product table.

Worked review extract

Product	Recorded position	Purchasing interpretation
Nitrile Gloves, Blue, Size M	Supplier SafeCore GmbH; quantity 38; unit price EUR 8.40	Low-stock review is appropriate. Confirm demand and purchasing context before ordering.
Packing Tape, Clear, 50 mm	Supplier PackRight AG; quantity 126; unit price EUR 2.25	Currently above the demonstration threshold. This alone does not prove that stock is optimal.
USB-C Docking Station D14	Supplier NordCom Supply; quantity 0; unit price EUR 119.00	Out of stock in the product table. Check open purchasing activity and expected receipt separately.
Printer Paper A4, Box of 5	Supplier OfficeLine KG; quantity -3; unit price EUR 24.90	Do not order solely from this balance; resolve the negative quantity with warehouse operations.

Questions the source cannot settle

The application can identify the supplier currently linked to a product and list products under a supplier or category. It cannot, from the five core fields alone, confirm a supplier telephone number, delivery date, contract expiry, minimum order quantity, performance score, or whether a quoted price is still valid. Responses to these questions should state that the requested detail is absent and refer the user to purchasing records.

Where supplier or category data is missing, the system presents the fields that are available and describes the gap. It does not infer a supplier from another product or assign a category based only on words in the product name. This distinction is important when automated assistants are used: a plausible answer is not a verified catalogue answer.

Control note: This policy is fictional test material. Supplier names, products, values, and approval language are illustrative and do not represent a real purchasing arrangement.